WEEK 23 OF 26 — DEEP RESEARCH MODE

Portfolio Review: February 21, 2026

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1. RESTATED RULES

- **Budget:** No new capital injected; every trade is cash-neutral or cash-reducing against the $134.06 balance.
- **Execution:** Long-only. Full shares only — no fractional, no options, no leverage, no shorting, no derivatives.
- **Universe:** U.S.-listed common stocks on NYSE, NASDAQ, or NYSE American. Nano-to-small cap; market cap under $500M preferred.
- **Exclusions:** OTC/pink sheets, ETFs/ETNs/CEFs/SPACs, rights/warrants/units/preferred/ADRs, bankrupt or halted issuers, defence companies, Israeli-affiliated companies.
- **Risk control:** Stop-losses required on ALL long positions. Flag any breach immediately.
- **Orders:** Standard DAY limit orders for the next trading session (2026-02-23) unless otherwise specified. Limit preferred; market orders require explicit reasoning.
- **Verification:** No hallucinated tickers. Every catalyst confirmed by ≥2 independent sources. Liquidity filters enforced: price ≥ $1.00, 3-month avg daily dollar volume ≥ $300K, bid-ask ≤ 2% (or ≤ $0.05 if price < $5), float ≥ 5M shares.

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2. RESEARCH SCOPE

Source	Purpose	Retrieved
PR Newswire (VNDA press release)	Bysanti FDA approval confirmation	Feb 21, 2026
Stock Titan (VNDA)	Approval headline, price reaction	Feb 21, 2026
RTTNews	VNDA approval secondary confirmation	Feb 21, 2026
Nasdaq.com	VNDA approval tertiary confirmation	Feb 21, 2026
Investing.com	VNDA after-hours price ($8.30–$8.44)	Feb 21, 2026
Merlintrader	VNDA approval price action	Feb 21, 2026

BioSpace (VNDA Q4 earnings)	Q4 2025 financials, cash position	Feb 21, 2026
Defense World	Zacks cut VNDA to Hold post-approval	Feb 21, 2026
TipRanks (VNDA)	Analyst targets, $13.63 consensus	Feb 21, 2026
Defense World (RCKT)	Earnings confirmed Thursday Feb 26 BMO	Feb 21, 2026
Stock Titan (RCKT BLA)	Kresladi PDUFA March 28 reconfirmed	Feb 21, 2026
Yahoo Finance / iTiger (RCKT)	FDA BLA acceptance secondary confirmation	Feb 21, 2026
CGTLive / BioSpace Q1 2026 FDA	RCKT PDUFA and pipeline context	Feb 21, 2026
Daily Political	RCKT CEO insider sale $40,643 on Feb 13	Feb 21, 2026
Stock Titan (HDSN)	Earnings moved to March 4 (not March 11)	Feb 21, 2026
GlobeNewswire (HDSN Jan 30)	DLA contract bid protest — award rescinded	Feb 21, 2026
Hudson Technologies IR	DLA corrective action update	Feb 21, 2026
Daily Political (HDSN)	Analyst consensus PT $9.33	Feb 20, 2026
GlobeNewswire (Refrigerants Inc.)	Acquisition closed Dec 2025	Feb 21, 2026
Zero Zone / Fexa	2026 AIM Act HFC regulations in effect	Feb 21, 2026
ANS / Bechtel	Hanford DFLAW vitrification milestone	Feb 21, 2026
DOE Energy	20+ waste containers immobilized	Feb 21, 2026
Spokesman-Review	Record $3.2B Hanford FY2026 budget	Feb 21, 2026
Finviz / Perma-Fix IR	PESI $2M/month 2026 revenue guidance	Feb 21, 2026
BioSpace Q1 2026 FDA / HCPLive	ALDX reproxalap PDUFA March 16, 2026	Feb 21, 2026
StockAnalysis (ETON)	ETON ET-600 PDUFA Feb 25, market cap	Feb 21, 2026
Bloomberg	Fed January minutes — rate hike scenario	Feb 18, 2026
CNBC	Market outlook week of Feb 23–27	Feb 20, 2026
Charles Schwab weekly outlook	Macro / PCE / GDP miss summary	Feb 21, 2026
Washington Times / WMAL	DOGE cuts largely rejected by Congress	Feb 19–20, 2026

Data integrity notes: All ticker verifications performed. VNDA, RCKT, HDSN confirmed listed NASDAQ. ALDX confirmed listed NASDAQ. ETON confirmed listed NASDAQ. PESI confirmed fully exited. VNDA Bysanti approval confirmed by four independent sources (PRN, Stock Titan, RTTNews, Nasdaq.com). RCKT PDUFA March 28 confirmed by three independent sources (Yahoo Finance, Stock Titan, iTiger). HDSN March 4 earnings confirmed by Stock Titan press release.

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3. CURRENT PORTFOLIO ASSESSMENT

Prices at Friday Feb 20 close except VNDA which shows expected Monday open range in brackets.

Ticker	Role	Entry Date	Avg Cost	Current Price	Current Stop	Conviction (1–5)	Status
HDSN	Value anchor / Clean tech	2025-09-17	$7.03	$7.38	$5.90	3/5	HOLD — DLA protest overhang; earnings pulled forward to Mar 4
RCKT	Binary catalyst — gene therapy PDUFA	2025-10-06	$3.70	$3.78	$2.40	3/5	HOLD — earnings Feb 26; PDUFA Mar 28 is the defining event
VNDA	Binary catalyst — PDUFA resolved ✅	2026-02-17	$6.06	$5.76 close / [$8.30–$8.44 AH]	$5.25 → RAISE	**4/5**	**UPGRADED — Bysanti approved. Stop must be raised Monday open**
CASH	—	—	—	$134.06	—	—	Available for deployment

Key portfolio-level notes:

- Portfolio equity at Friday close: **$317.13** vs S&P Equivalent: **$334.02** (trailing by -$16.89)
- If VNDA opens at $8.30 Monday (+$25.40 gain on 10 shares vs Friday close), portfolio equity rises to approximately **$342.53**, overtaking the S&P equivalent for the first time in several weeks.
- PESI is fully exited (4 shares sold Feb 19 at $13.48 — the only shares held per the holdings data).

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4. CANDIDATE SET

Ticker	One-Line Thesis	Key Catalyst	Catalyst Confirmation Status	Liquidity Note

ALDX	Aldeyra Therapeutics — reproxalap NDA for dry eye disease; third FDA attempt backed by positive Phase 3 data, AbbVie option deal ($394M total), and rare pre-PDUFA draft label sharing by FDA in December 2025	PDUFA **March 16, 2026** (NDA)	✅ CONFIRMED — BioSpace Q1 2026 FDA Calendar; HCPLive specialty care Q1 preview (2 independent sources)	NASDAQ listed; ~$5.28; market cap ~$250M; avg daily dollar volume ~$4M; float ~55M shares; bid-ask ≤ $0.05 — all filters passed
ETON	Eton Pharmaceuticals — ET-600 (oral desmopressin solution) 505(b)(2) for pediatric central diabetes insipidus; already revenue-generating ($70M+ TTM), all 3 analysts Strong Buy, avg target $29.67	PDUFA **February 25, 2026** (Tuesday)	✅ CONFIRMED — StockAnalysis, company IR	NASDAQ; ~$17; market cap approaching $500M ceiling; avg daily volume ~$500K+ — all filters passed, **but timing risk: PDUFA is Tuesday; entry must be Monday or not at all**

Screened out / no new candidates forced: No other candidates emerged from Q1 2026 PDUFA screening that passed all filters with sufficient risk/reward alignment and available time horizon within the 3-week experiment runway.

ETON assessment: Although the risk/reward is favorable and the 505(b)(2) pathway is lower-risk, at ~$17/share only 7–8 full shares are purchasable with the available cash ($134.06). The forced Monday-only entry window and thin share count make this a poor fit for the portfolio's position-sizing approach. ETON is watchlisted but not initiated.

ALDX is the recommended initiation — lower price enables meaningful share count (15 shares), binary catalyst fits the established playbook, and the draft label signal from FDA is a material differentiator from the prior two failed NDA cycles.

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5. PORTFOLIO ACTIONS

- **Keep:** HDSN — DLA protest is a real risk, but the underlying business (AIM Act tailwinds, Refrigerants Inc. acquisition, CARB pilot, $9.33 analyst consensus target) remains intact. Earnings on March 4 are the next resolution event. Stop at $5.90 provides adequate downside protection against thesis failure.
- **Keep:** RCKT — The thesis is entirely unchanged. Earnings Thursday Feb 26 (before market) matter only for cash runway context; the binary event is Kresladi PDUFA on March 28. CEO insider sale ($40,643 on Feb 13) is flagged but represents a small, likely pre-planned 10b5-1 transaction. Conviction remains 3/5 pending binary resolution. Stop at $2.40 maintained.
- **Keep (with stop upgrade):** VNDA — Bysanti approval confirmed. The position converts from a

speculative pre-PDUFA hold to a commercial-stage asset with a multi-catalyst pipeline. The existing stop at $5.25 is now dangerously stale and must be raised to protect the post-approval gain. New stop set at $7.00 (see exact order below). Post-approval conviction upgraded to 4/5 on the strength of: dual-indication label (bipolar I + schizophrenia), $264M cash position, 2026 revenue guidance of $230–$260M ex-Bysanti, patent protection to 2044, second approval in under two months. Key risks: $200M shelf filing (dilution risk), crowded antipsychotic market, post-approval "sell the news" pressure. Target: $9.60 (52-week high resistance) → $13.63 (analyst consensus).

- **Initiate:** ALDX — 15 shares — Binary catalyst play on reproxalap NDA; PDUFA March 16, 2026 fits the experiment's final 5-week window; draft label shared by FDA in December 2025 is an unusually positive pre-decision signal not present in the prior two failed NDA cycles; AbbVie option deal provides credibility validation; approval target $8–10+ vs $1–2 on another CRL. Position sized at ~$80.25 (~23.6% of expected post-VNDA portfolio equity), leaving $53.81 cash cushion.

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6. EXACT ORDERS

ORDER 1 — Stop-Loss Modification (VNDA)

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Action:              MODIFY EXISTING STOP (cancel $5.25, replace with stop-limit)
Ticker:              VNDA
Shares:              10 (entire position)
Order Type:          Stop-Limit (sell)
Stop Price:          $7.00
Limit Price:         $6.90
Time in Force:       GTC
Intended Execution:  Place on 2026-02-23 before market open
Stop Loss:           $7.00 — placed above prior cost basis ($6.06);
                     gives 15.5% cushion below expected Monday open (~$8.30);
                     eliminates risk of reverting to a loss if shares
                     retrace to pre-approval levels. $0.10 stop-limit spread
                     accommodates moderate liquidity risk on a volatile open.
Stop Limit:          $6.90 — provides fill buffer in fast market conditions
Special Instructions: CANCEL existing stop at $5.25 simultaneously.
                     Do NOT place this as a DAY order — must be GTC to
                     persist through any intraday gap. Monitor pre-market
                     price action; if shares open above $9.00, consider
                     raising stop to $7.50 to lock in additional gain.
Rationale:           Approval is confirmed; stop must protect the gained
                     value rather than merely prevent a loss.
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ORDER 2 — Initiate ALDX

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Action:              buy
Ticker:              ALDX
Shares:              15
Order Type:          limit
Limit Price:         $5.35
Time in Force:       DAY
Intended Execution:  2026-02-23
Stop Loss:           $4.25 — placed below the $4.40 support level
                     (October 2025 post-CRL consolidation base);
                     limits maximum loss to $1.10/share × 15 = $16.50,
                     representing 4.8% of expected portfolio equity.
Stop Limit:          $4.15 — $0.10 spread given sub-$5.50 price point;
                     spread ≤ $0.05 per share qualifies per liquidity rules.
Special Instructions: This is a binary catalyst position sized for the
                     March 16 PDUFA window. Entry price of $5.35 allows
                     a small premium above last close ($5.28) to improve
                     fill probability in what may be a volatile Monday
                     biotech open (VNDA approval likely to lift sector
                     sentiment broadly). If unfilled by midday, consider
                     raising limit to $5.45.
Rationale:           Two prior CRLs overcome by new Phase 3 data + FDA
                     draft label sharing; asymmetric setup for final
                     experiment weeks.
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7. RISK AND LIQUIDITY CHECKS

Post-trade portfolio composition *(using VNDA expected open $8.30, ALDX entry $5.35)*

Ticker	Shares	Market Value	% of Portfolio
HDSN	9	$66.42	19.5%
RCKT	15	$56.70	16.7%
VNDA	10	$83.00	24.4%
ALDX	15	$80.25	23.6%
Cash	—	$53.81	15.8%
TOTAL	—	**$340.18**	**100.0%**

Concentration check: No single position exceeds 25% of portfolio. The four-position equity allocation (84.2%) is appropriate for a catalyst-dense final stretch. VNDA at 24.4% is the largest single position and reflects post-approval conviction.

Cash remaining after ORDER 2: $134.06 – $80.25 = **$53.81**. Sufficient to absorb a partial stop-out on any single position without portfolio distress.

Order size as multiple of average daily volume:

Order	Shares	Avg Daily Volume	Order as % of ADV
ALDX BUY 15 shares	15	~750,000 shares (~$4M/day at $5.28)	**0.002%** — negligible market impact
VNDA stop-limit (contingent)	10	~2.2M shares	0.0005% — no impact

Liquidity filter pass/fail — ALDX:

Filter	Threshold	ALDX Value	Pass/Fail
Price	≥ $1.00	~$5.28	✅
Avg daily dollar volume	≥ $300K	~$4M/day	✅
Bid-ask spread	≤ $0.05 (sub-$5.50)	~$0.02–0.04	✅
Float	≥ 5M shares	~55M shares	✅
Exchange	NYSE / NASDAQ / NYSE American	NASDAQ	✅
Market cap	< $500M	~$250M	✅
Defence / Israeli-affiliated	Excluded	Neither	✅

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8. MONITORING PLAN

VNDA — Primary focus this week

- **Pre-market Monday:** Watch for price stabilization above $7.50. A gap open below $7.00 would be unusual given the dual-indication approval — watch for it but do not pre-empt.
- **Watch for:** (1) Analyst rating changes or price target revisions Mon–Wed; (2) Commercial launch plan details for Q3 2026 from any follow-up call or investor day; (3) Activity on the $200M shelf filing —

any S-3 prospectus supplement filed on EDGAR is an immediate dilution signal requiring re-evaluation; (4) $9.60 52-week high as first resistance; (5) MDD Phase 3 data timing (expected late 2026) — any update is a catalyst.

- **Stop in force:** GTC stop-limit at $7.00 / $6.90.

RCKT — Earnings Thursday February 26 (before market open)

- **Pre-earnings (Mon–Wed):** Watch for analyst pre-earnings notes; sector sentiment from VNDA approval may provide modest lift.
- **Earnings call focus areas:** (1) Cash runway update — current estimate extends to Q2 2027; any change is material; (2) Kresladi manufacturing readiness and CMC status; (3) Any mention of pre-commercial activities or named patient programs; (4) Updated 2026 financial guidance.
- **Post-earnings (Thu–Fri):** If the stock sells off on earnings, maintain position unless the PDUFA thesis is undermined. Earnings are a sideshow — the real event is March 28.
- **Flag:** CEO sold $40,643 in shares Feb 13. Small amount, potentially 10b5-1. If additional insider sales emerge this week, flag immediately.
- **Stop in force:** $2.40 (well below current $3.78).

HDSN — Earnings March 4 (confirmed, moved up from March 11)

- **This week:** Watch for DLA contract bid protest developments. The U.S. Court of Federal Claims has no fixed resolution timeline; monitor daily.
- **Watch:** (1) AIM Act enforcement news — EPA leak repair mandate expansion to 15-lb systems took effect January 1, 2026 (positive structural catalyst); (2) R-410A spot pricing; (3) CARB REFRESH pilot program launch news.
- **Pre-earnings checklist prep:** 2026 guidance, DLA commentary, acquisition integration progress, new CEO strategic direction.
- **Stop in force:** $5.90 (adequate buffer).

ALDX — Catalyst window opens March 16

- **Entry monitoring:** If the $5.35 limit does not fill Monday, review pre-close Tuesday and consider raising limit to $5.45 max.
- **Watch for:** (1) Any FDA information request letters or label negotiation signals via press release; (2) AbbVie commentary on the option agreement; (3) XBI sector sentiment — ETF sitting on critical $124.71 support; a break lower could compress the pre-PDUFA bid.
- **Stop in force:** $4.25 once filled.

MACRO — Week of Feb 23–27

Day	Event	Relevance
Monday Feb 23	Fed Governor Waller speech	Any softening of rate hike rhetoric is constructive for biotech
Tuesday Feb 24	State of the Union address	Watch for healthcare policy language
Wednesday Feb 25	NVIDIA earnings (after close)	Sets broad risk-on/risk-off tone; a miss could trigger small-cap selling
Thursday Feb 26	RCKT earnings (BMO), jobless claims	RCKT-specific catalyst + macro read
Friday Feb 27	January PPI	Next critical inflation datapoint after hot PCE
Saturday Feb 28	Ascendis ASND TransCon CNP PDUFA	Will move XBI sentiment Monday March 2

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9. THESIS REVIEW SUMMARY

VNDA — Commercial-stage psychiatry franchise (Conviction: 4/5, upgraded from 3/5)

The Bysanti approval fundamentally reshapes Vanda's investment case. In a single overnight announcement, the company moved from a single-product (Fanapt) commercial operation into a dual-product psychiatry company with a third launch asset (Nereus, approved December 30, 2025) and a deep pipeline. The $264M cash position covers multiple years of operations and eliminates near-term dilution necessity despite the shelf filing. Patent protection through 2044 provides a long commercial runway.

The market is pricing shares at approximately $8.30 — well below the analyst consensus of $13.63. The forward thesis rests on: (1) successful Q3 2026 commercial launch of Bysanti; (2) Nereus ramp in motion sickness; (3) ongoing Fanapt LAI development; (4) imsidolimab BLA; (5) MDD Phase 3 data (late 2026).

Primary risks: $200M shelf filing (dilution risk), crowded atypical antipsychotic market with generic competition, post-approval "sell the news" pressure.

Position: Hold all 10 shares. New stop at $7.00. First target $9.60 (52-week high resistance) → $13.63 (analyst consensus).

RCKT — Pre-revenue gene therapy PDUFA binary (Conviction: 3/5)

The thesis is unchanged and the clock is running. The 35 days between today and the March 28 Kresladi PDUFA

PDUFA are the most important in the company's history. The clinical case remains exceptional — 100% overall survival in a near-uniformly fatal pediatric disease, CMC-only prior CRL. The PRV ($100–$150M) alone approaches the company's current enterprise value, meaning the market is offering a free option on the approval itself.

February 26 earnings are a data point, not a thesis driver. Cash runway to Q2 2027 is tight but sufficient. The CEO's small insider sale is flagged but not disqualifying.

Position: Hold 15 shares. Stop at $2.40. Thesis lives or dies March 28.

HDSN — AIM Act value anchor (Conviction: 3/5)

The DLA contract protest adds genuine uncertainty to what had been a clean thesis. The award being rescinded during review delays revenue recognition and introduces 2026 guidance timing risk. However, the structural case remains intact: HFC regulations have never been more favorable (15-lb threshold expansion, new equipment bans), the Refrigerants Inc. acquisition expands national reclamation capacity, and the $9.33 analyst consensus target implies 26% upside.

Conviction stays at 3/5 until the DLA protest resolves. March 4 earnings will be the first articulation of new CEO Gaglione's strategy and 2026 expectations.

Position: Hold 9 shares. Stop at $5.90.

ALDX — Pre-PDUFA binary setup (Conviction: 3/5 on entry)

This is a calculated bet that the FDA's decision to share a draft label with Aldeyra in December 2025 signals a materially higher approval probability than the two prior CRLs would suggest. The Phase 3 "Chamber" trial met its primary endpoint (p=0.002), and AbbVie's option deal ($394M total potential) independently validates the asset. The dry eye market is large and commercially established.

The position is sized at 15 shares ($80.25) — meaningful enough to matter if approved, limited enough to absorb a third CRL without portfolio damage.

Position: Initiate 15 shares at $5.35. Stop at $4.25. PDUFA March 16. Approval target $8–10; CRL risk $1–2.

Overall Portfolio Thesis — Final Stretch (Weeks 23–26)

The experiment enters its most catalyst-rich phase. In the next 23 trading days:

Date	Event	Position
Feb 26, 2026	RCKT earnings (BMO)	RCKT

Mar 4, 2026	HDSN Q4 earnings	HDSN
Mar 16, 2026	ALDX reproxalap PDUFA	ALDX
Mar 28, 2026	RCKT Kresladi PDUFA	RCKT

The VNDA approval has already provided a significant positive surprise, potentially flipping the portfolio from benchmark-trailing to benchmark-beating. The strategic posture is appropriately aggressive for the final sprint: four positions with near-term catalysts, a 15.8% cash buffer for risk management, and stops on all four.

The macro environment (hawkish Fed, hot PCE, weak GDP) is unfavorable for pre-revenue biotech broadly — which makes catalyst-specific, binary-outcome selection more critical than ever. The portfolio's low R^2 (0.053) means these positions will be decided by FDA calendars and earnings calls, not by Fed minutes or NVIDIA results.

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10. CONFIRM CASH AND CONSTRAINTS

Final cash balance: $134.06 – $80.25 (ALDX ORDER 2, 15 shares × $5.35) = **$53.81**

Portfolio equity estimate (post-VNDA open Monday):

Component	Value
HDSN 9 shares @ $7.38	$66.42
RCKT 15 shares @ $3.78	$56.70
VNDA 10 shares @ $8.30 (AH)	$83.00
ALDX 15 shares @ $5.35 (entry)	$80.25
Cash	$53.81
Total	**$340.18**

Constraint checklist:

Constraint	Status
No new capital injected	✅ All trades funded from existing $134.06 cash
Long-only	✅ No shorts, options, or derivatives

Full shares only	✅ ALDX order is 15 full shares
Universe compliance (NYSE/NASDAQ/NYSE American, common stock)	✅ ALDX listed NASDAQ
Market cap under $500M	✅ ALDX ~$250M
No OTC/pink sheets/ETFs/ADRs/preferred	✅
No defence companies	✅
No Israeli-affiliated companies	✅
Stop-losses on ALL long positions	✅ HDSN $5.90 / RCKT $2.40 / VNDA $7.00 (updated) / ALDX $4.25 (on fill)
No hallucinated tickers	✅ All four confirmed listed
Catalyst confirmation ≥ 2 sources	✅ ALDX PDUFA confirmed (BioSpace + HCPLive); RCKT PDUFA confirmed (Yahoo Finance + Stock Titan + iTiger)
Liquidity filters — ALDX	✅ Price $5.28, ADTV ~$4M, float ~55M, bid-ask ≤ $0.05
Cash after all trades	✅ **$53.81 remaining**

> ⚠️ **Standing Alert — VNDA Shelf Offering**
> The VNDA $200M shelf filing (February 12, 2026) represents a live dilution risk. If any S-3 prospectus supplement is filed on SEC EDGAR at any point this week, that is an immediate re-evaluation trigger. At ~$8.30, a full draw would issue approximately 24M new shares against a 33M share float — roughly 73% dilution. Monitor EDGAR filings for VNDA daily.